

SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

(Established under section 3 of the UGC Act, 1956)
Re-accredited by NAAC with 'A++' Grade Awarded Category - I by UGC

Seat No.

(0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT,
PUNE
(020343) MASTER OF BUSINESS ADMINISTRATION (BUSINESS ANALYTICS)

2024-26

I

Financial Accounting

Course Code: 0203430108

12/03/2025

Wednesday

Maximum Marks: 40

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:-

- 1) All questions are compulsory.
- 2) Use of calculators is allowed.

Q.1. Lowder Company purchased 275 units of inventory on account for \$5,775. Due to early payment, Lowder received a discount and paid only \$5,225. Lowder then sold 150 units for cash at \$55 each, purchased an additional 65 units for cash at a cost of \$1,430, and then sold 100 more units for cash at \$55 each.

a. Calculate cost of goods sold, profit and closing inventory assuming the FIFO inventory costing method.

(6 Marks)

b. Indicate where these items are presented in the financial statements of the company

(2 Marks)

c. What other methods can be used and how would COGS, profit and closing inventory be different under each of those?

(2 Marks)

(CO-1,2,3)

Q.2. On January 1, Jones Company acquired a new delivery truck for \$40,000 cash. Additional cash payments during the year were as follows.

- Taxes and fees on purchase of the delivery truck, \$3,200
- Installation of GPS system and painting of logo for truck, \$3,000
- Auto and liability insurance premiums paid on truck, \$1,500.

a. Assume that the delivery truck has an estimated useful life of five years and an estimated salvage value of \$2,000. Calculate the depreciation expense on the delivery truck for the over its life, assuming Jones uses the SLM method of depreciation.

(3 Marks)

b. Show how the truck would be reported on Jones's current-year balance sheet.

(2 Marks)

(CO-2,3)

Q.3. A company that uses the straight-line method of depreciation experiences the following independent items:

- a. Increases a useful life estimate from 5 years to 8 years
- b. Pays for maintenance of equipment
- c. Reduces a salvage value estimate by \$10,000
- d. Pays \$50,000 to significantly increase the productivity of an existing fixed asset
- e. Records an impairment on a fixed asset

Identify whether each independent item would increase, decrease, or not affect depreciation expense for the underlying fixed asset.

(CO-3) (5 Marks)

Q.4. Monica's Clothing Company has a receivables balance of \$75,000 at the end of the year. The company estimates that 5% of its receivables balance will be uncollectible.

a. How should the company record the above in its financial statements? (2 Marks)

b. In the next financial year it is found that the bad debts pertaining to the above were \$2000. How will this be recorded in the financial statements now? (3 Marks)

(CO3)

Q.5. A company enters into the following independent transactions:

- a. Issues new shares in an IPO
- b. Declares and pays a cash dividend
- c. Declares and pays a stock dividend (bonus issue)
- d. Issues shares under Employees Stock Option Plan (ESOP)
- e. Declares a 2 for 1 stock split

Describe whether each transaction would increase, decrease or not affect i) total shareholders equity ii) retained earnings iii) equity share capital and iv) cash flow from financing activities

(CO 3) (5 marks)

Q.6. Coy Williams a first year accountant at Protein Plus has asked you to review the following items for potential errors. The company has a 31 December year end.

- a. Paid insurance premium of Rs. 660,000 for a period of 1st Oct-30th Sep and recorded the entire amount in the Profit and Loss statement
- b. Recorded a full year of accrued interest on a loan of Rs. 20 lakhs @ 10% p.a. Loan was taken on 1st July and interest is due annually on 1st July
- c. Did not record Rs. 850,000 of depreciation on office building
- d. Recorded revenues of Rs. 12,00,000 when payment was received for a job that will be completed next year
- e. Recorded Rs.60,000 of utility expenses for December utilities even though he will pay the bill only in January.

Determine if Coy made any errors in the five items. For those in which an error was made, indicate what should have been the correct accounting treatment. What is the net effect of Coy's errors on the net income of Protein Plus?

(CO 1 2 3) (5*2=10 marks)
